RESEARCH NOTE · 23 OCTOBER 2026

Three crypto arbitrage strategies against a 2.5% deposit. None beats it by enough to justify the risk.

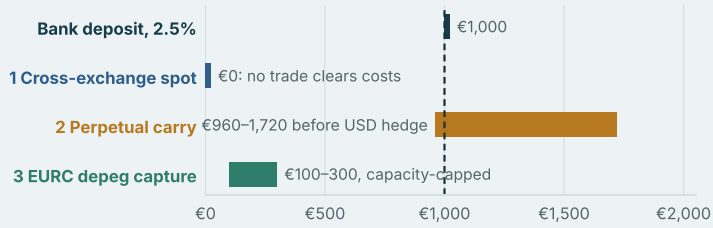
Syed Zee Waqar Hussain · personal research, May 2025 – October 2026 · paper trading on live public market data, no orders sent

The question and how it evolved

Can any crypto arbitrage beat a 2.5% EUR bank deposit once every fee, spread, currency, funding and idle-capital cost is paid?

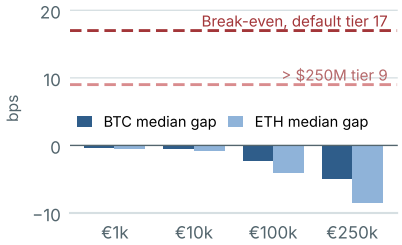
It began in 2025 as a Binance–Kraken prototype with live paper trading. In 2026 it became an institutional model of a German EUR venue (BSDEX, proxied by Bitstamp) against global USDT liquidity, with bank fee tiers, live FX and full-depth pricing. After an audit and a 4-hour live run, I tested the two strongest alternatives: perpetual funding carry and EURC stablecoin depegs.

What €40k would have earned in a year



1 Cross-exchange spot arbitrage

Buy BTC or ETH on the cheaper exchange and sell on the dearer one at the same moment. Bitstamp (EUR) vs Binance (USDT, in EUR).



Median gap after crossing both books, 4-hour live run, 14 Oct

0 trades
in 4 live hours at €100k per leg

0 of 136
realistic backtest settings made money

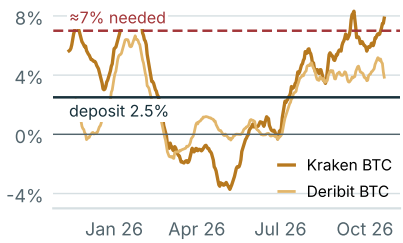
+€276 → −€1,548
the "profitable" backtest after fixing look-ahead, FX and fill bugs

No edge

Gaps are a few bps; costs are 7–47 bps. The rare big gaps were frozen prices lasting ≤ 3 s.

2 Perpetual funding carry

Hold the coin and short its perpetual future so price moves cancel; collect the funding leveraged buyers pay.



Funding earned by the short, 30-day average, % a year

3.3% vs 2.5%
12-month average funding, Kraken BTC (Deribit 2.3%), in USD

31% of hours
negative on Kraken: the short pays

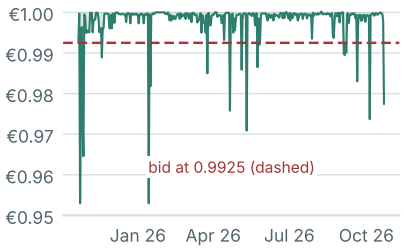
€960–1,720
a year on €40k before the USD hedge, vs €1,000 deposit

Edge ≈ deposit rate

Cheapest venues are closed to EU residents; ESMA called perps "likely CFDs"; 100% of capital sits at an exchange.

3 EURC stablecoin depeg capture

Rest bids below €1 for the euro stablecoin; when a holder dumps into a thin book, buy and sell back near par.



EURC/EUR daily low on Kraken, last 12 months

20 days
below €0.9925 on Kraken (low €0.953)

+8.2% a year
resting bid at 0.99 after fees, 13 fills (candles: size unproven)

€100–300
a year, realistic: ≈2.5k EURC per sweep on the live tape

Real edge, tiny capacity

Live test 22 Oct: market making −€29, cross-venue −39 bps; the deep bid made + €12 on one sweep.

Decision: deploy none. The €40k stays in the deposit.

What would make each worth revisiting:

- **1** A maker-only design with a near-free hedge, e.g. against internal client flow.
- **2** 90-day funding above ≈7%, sustained, plus clarity on ESMA's CFD view.
- **3** Free par redemption of EURC, or Bitvavo volume above €100k a day.

Where the work is useful now

- **Best execution.** MiCA Art. 78 requires firms to check their venues regularly; the tool measures spread, depth, freshness and latency per venue, live.
- **Euro stablecoins.** Evidence of how thin secondary EUR markets are, and how often EURC trades below par.
- **Model validation.** A checklist of the backtest errors that made a losing strategy look perfect.

Happy to walk you through the data in 20 minutes.

Sources and method: cross-exchange figures from the 4-hour live campaign (14 Oct 2026, 49,825 order-book snapshots per coin) and the verified backtest (BTC/EUR, 24 Sep–1 Oct 2026, €100k per leg); Bitstamp stands in for BSDEX and an LMAX fee model is applied; institutional fee tiers are assumptions. Funding: Kraken Futures and Deribit public history to 22 Oct 2026; the €960–1,720 range assumes OKX EEA, maker on both legs and two round trips a year, before hedging the dollar exposure. EURC: Kraken daily candles to 22 Oct 2026; the resting-bid backtest charges 0.20% on both legs and sells at 0.9995; candle lows show that a price printed, not that size was available. Live EURC session: 22 Oct 2026, 2.6 h, Bitvavo, Kraken and Bitstamp. All P&L is simulated. 1 bp = 0.01%.